

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

Let's break down the problem step by step to determine Josh's profit from flipping the house .

1 . **Calculate the total cost of the house and repairs : **

- Josh buys the house for $(\$ 80,000)$.
- He spends $(\$ 50,000)$ on repairs .
- The total cost is the sum of the purchase price and the repair cost :

$$\begin{aligned} \text{Total cost} &= \$ 80,000 + \$ 50,000 \\ \text{Total cost} &= \$ 130,000 \end{aligned}$$

2 . **Determine the increased value of the house : **

- The value of the house increased by 150 % .
- To find the increase in value , we calculate 150 % of the total cost :

$$\begin{aligned} \text{Increase in value} &= 150 \% \times \$ 130,000 \\ \text{Convert 150 \% to a decimal :} \\ 150 \% &= 1.5 \\ \text{Multiply :} \\ \text{Increase in value} &= 1.5 \times \$ 130,000 \\ \text{Increase in value} &= \$ 195,000 \end{aligned}$$

3 . **Calculate the new value of the house : **

- The new value is the total cost plus the increase in value :

$$\begin{aligned} \text{New value} &= \$ 130,000 + \$ 195,000 \\ \text{New value} &= \$ 325,000 \end{aligned}$$

4 . **Determine the profit : **

- Profit is the difference between the new value of the house and the total cost :

$$\begin{aligned} \text{Profit} &= \text{New value} - \text{Total cost} \\ \text{Profit} &= \$ 325,000 - \$ 130,000 \\ \text{Profit} &= \$ 195,000 \end{aligned}$$

Thus , Josh made a profit of $(\$ 195,000)$.

<think>
1 . Total cost = \$80,000 + \$50,000 = \$130,000
2 . Increase in value = 150% of \$130,000 = \$195,000
3 . New value = \$130,000 + \$195,000 = \$325,000
4 . Profit = \$325,000 - \$130,000 = \$195,000
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<answer>195000</answer>